

**Clarification in respect of effect of
Goods & Services Act, 2017 on works
contracts and demands raised by the
Contractors' Association regarding the
process and condition of the contracts.**

Government of Maharashtra

Public Works Department

Govt. Circular No. Sankirn-2017/C.R.121/Part II/Bldg.2

Hutatma Rajguru Chowk, Madam Cama Road,

Mantralaya, Mumbai- 400 032

Date- 23 /10 /2017

Read:

- 1) Government of Maharashtra Circular (Finance Department): GST-1017/C.R.81/Karadhan-1, dated- 19th August, 2017
- 2) Government of Maharashtra (PWD): Letter No-Sankirna-2017/C.R.121 (II)/Bld-2, dated- 4th September, 2017
- 3) Government of Maharashtra (PWD): Letter No-Baithak -2017/ C.R.326/Roads-1, dated- 8th September, 2017
- 4) Government of Maharashtra Circular (Finance Department): GST-1017/C.R.155/Karadhan-1, dated- 11th September, 2017
- 5) Government of Maharashtra (PWD) Circular No. Sankirna-2017/C.R.121(Part-II)/Building-2 dated – 19th September 2017

Preamble:

Government of Maharashtra vide their notification of the Finance Department has made the GST applicable w.e.f. 1st July, 2017. The contractors all over the State have been raising queries about implementation of the Goods & Services Tax with respect to the ongoing and new contracts. A detailed circular of clarifications is already issued as per the Government Circular dated 19th September 2017. Despite all these clarifications contractor's association has been raising some queries. As per the discussions with the representatives of Contractor's association following further clarification is issued as under :-

Clarification about GST:

It is clarified herewith that, extra burden of GST if any, shall be compensated by PWD upon production of authenticated records of net extra burden on account of GST (after deducting VAT and / OR Excise as in earlier contracts). All the regional Chief Engineers are instructed to conduct a meeting with the concerned Joint Commissioner / Assistant Commissioner GST along with the representative of contractors to decide the procedure for the settlement of claim on account of burden due to GST. As per the Para 23 of the PWD manual Chief Engineer is the Professional head of the department. The Chief Engineer is entrusted with the responsibility to carry out the works efficiently. The Chief Engineer is also a responsible advisor to the Government for various professional activities. Hence the Chief Engineers are fully authorised to device a procedure for settlement of Net GST claims under the guidance of the Joint Commissioner/ Assistant Commissioner GST and accordingly to instruct the concerned Executive Engineers.

Price variation:

It is already clarified vide the Government circular dated 19th September 2017 that star rates shall be provided for in the SBD for bitumen, cement and steel. It is also clarified that the difference between purchase price of contractor and the star rates shall be recoverable from the contractors or payable to the contractors.

The contractors association has demanded for price adjustment due to fluctuating prices of diesel / petrol. Accordingly now it is clarified that price adjustment will be given for Petrol / Oil / Lubricants (POL), Labour and material other than bitumen, cement and steel. The modified price variation clause as below is to be incorporated in the tenders. However the maximum amount due

to price variation will be **restricted to 5% of the accepted contract value excluding the compensation payable for the materials (bitumen, steel and cement) which have been directly given difference in purchase price and star rate.**

The Price Adjustment clause to be included in the tender is attached separately as Appendix "A".

This Price Adjustment clause shall be included in works having **time limit of more than 1 year**. As per the MoRTH guidelines, price escalation is not payable where the time limit is upto 1 year (12 calendar months). Hence the Price Adjustment clause shall be included in works having **time limit of more than 1 year** (12 calendar months). It must also be clarified that works like pothole filling or one time renovation of 1-10 kms cannot be extended beyond one year without a written approval by the concerned Chief Engineer.

This Government Circular of Maharashtra Government is available at the website www.maharashtra.gov.in Reference no. for this is 201710231141489018. This order has been signed digitally.

By order and in the name of the Governor of Maharashtra.

(Sachin Chivate)

Under Secretary, PWD

To,

1. A.C.S. to Hon'ble Chief Minister, Maharashtra
2. P.A. to Hon'ble Finance Minister, Maharashtra
3. P.A. to Hon'ble Minister (PW), Maharashtra
4. P.A. to Chief Secretary, Maharashtra
5. P.A. to A.C.S. Finance, Mantralay, Mumbai
6. P.A. to P.S. (PWD),/ Secretary (Roads)/ Secretary (Buildings)

7. Chief Engineer, P.W.Region, Mumbai/ Pune/ Nashik/ Nagpur/ Amravati/ Aurangabad/ Special Projects Mumbai
8. Chief Engineer, Electrical (PWD), Mumbai
9. All Deputy Secretaries/ Under Secretaries, PWD, Mantralya. Mumbai
10. All Superintending Engineers/ Executive Engineers, PWD
11. All Desk Officers, PWD, Mantralya. Mumbai
12. Reference File (Desk Bldg-2).

Appendix “A”

Price Adjustment

Contract price shall be adjusted for increase or decrease in rates and price of labour, materials, fuels and lubricants excluding bitumen, cement and steel in accordance with the following principles and procedures and as per formula given in the contract data. The price variation clause to be included shall be read as follows: (a) The price adjustment shall apply for the work done from the start date given in the contract data upto end of the initial intended completion date or extensions granted by the Engineer and shall not apply to the work carried out beyond the stipulated time for reasons attributable to the contractor. (b) The price adjustment shall be determined during each month from the formula given in the contract data. (c) Following expressions and meanings are assigned to the work done during each month:

R = Total value of work done during the month. It would include the amount of secured advance granted, if any, during the month, less the amount of secured advance recovered, if any during the month. It will exclude value for works executed under variations for which price adjustment will be worked separately based on the terms mutually agreed.

To the extent that full compensation for any rise or fall in costs to the contractor is not covered by the provisions of this or other clauses in the contract, the unit rates and prices included in the contract shall be deemed to include amounts to cover the contingency of such other rise or fall in costs.

The formula (e) for adjustment of prices are: R = Value of work

Adjustment for labour component

- (i) Price adjustment for increase or decrease in the cost due to labour shall be paid in accordance with the following formula:
- (ii) $VL = 0.85 \times P_1 / 100 \times R \times (LI - Lo) / Lo$
- (iii) VL= increase or decrease in the cost of work during the month under consideration due to changes in rates for local labour.
- (iv) Lo= the consumer price index for industrial workers for the State on 28 days preceding the date of opening of Bids as published by Labour Bureau, Ministry of Labour, Government of India.
- (v) LI= The consumer price index for industrial workers for the State for the under consideration as published by Labour Bureau, Ministry of Labour, Government of India.
- (vi) PI= Percentage of labour component of the work.

Adjustment of POL (fuel and lubricant) component

(v) Price adjustment for increase or decrease in cost of POL (fuel and lubricant) shall be paid in accordance with the following formula:

$$Vf = 0.85 \times P / 100 \times R \times (F, - F) / Fo$$

Vf = Increase or decrease in the cost of work during the month under consideration due to changes in rates for fuel and lubricants. Fo = The official retail price of High Speed Diesel (HSD) at the existing consumer pumps of lac at nearest center on the day 28 days prior to the date of opening of Bids. F, = The official retail price of HSD at the existing consumer pumps of IOC at nearest center for the 15th day of month of the under consideration.

P, = Percentage of fuel and lubricants component of the work. Note:
For the application of this clause, the price of High Speed Diesel oil has been chosen to represent fuel and lubricants group.

Adjustment of Other materials Component (Excluding bitumen, steel and cement)

(vii) Price adjustment for increase or decrease in cost of local materials other than cement, steel, bitumen and POL procured by the contractor shall be paid in accordance with the following formula:

$$Vm = 0.85 \times Pm / 100 \times R \times (MI - M0) / M0$$

Vm= Increase or decrease in the cost of work during the month under consideration due to changes in rates for local materials other than cement, steel, bitumen and POL.

M₀= The all India wholesale price index (all commodities) on 28 days preceding the date of opening of Bids, as published by the Ministry of Industrial Development, Government of India, New Delhi.

M₁ = The all India wholesale price index (all commodities) for the month under consideration as published by Ministry of Industrial Development, Government of India, New Delhi.

Pm= Percentage of local material component (other than cement, steel, bitumen and POL of the work.